
A FRAMEWORK FOR LONG-TERM BUSINESS ANALYSIS

Based on the Primary Sources of Warren Buffett and Charlie Munger
May 2026

"It's not supposed to be easy. Anyone who finds it easy is stupid."

— Charlie Munger

"The goal is not to win. It is to see how wrong you can be and still be right. Margin of safety, moat assessment, conservative DCF modeling, and position sizing are each sequential admissions of fallibility."

Primary sources: BRK Letters 1977–2025 · Partnership Letters 1956–1970 · Poor Charlie's Almanack · Wesco Letters 1983–2011 · BRK Meeting Transcripts 1994–Present

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A business must pass every gate in sequence. A failure at any gate stops the analysis entirely.

The DCF is the last step — never the first.

COMPANION DOCUMENTS: The Analysis Workbook provides fillable sheets for applying each gate to a specific company. 42 Principles — Complete Source Tracing maps every principle in this document to its primary source with full attribution.

ABSTRACT

Thesis

This document proposes a sequential, gate-based methodology for evaluating businesses as long-term investment candidates. The methodology is derived exclusively from the primary sources of Warren E. Buffett and Charles T. Munger — their published annual letters, meeting transcripts, and recorded speeches. No analytical principle in this framework is invented; each traces to a named source and year.

Methodology

The framework consists of eight sequential gates, each of which must be passed before the next is attempted. A failure at any gate terminates the analysis. The gates are ordered to maximise the efficiency of the disqualification process: qualitative filters (Gates 1–3) precede financial analysis (Gate 4), which precedes adversarial testing (Gate 5), which precedes valuation (Gates 6 and 8). Position sizing and monitoring (Gate 7) is an ongoing process that follows entry and governs the conditions for exit.

Scope and limitations

The framework is designed for the evaluation of publicly traded businesses with at least eight consecutive quarters of primary source financial data available. It is not designed for early-stage companies, businesses without established earnings, or situations where primary source filings are unavailable or unreliable. The framework does not guarantee outcomes. It is an explicit acknowledgment of the investor's own fallibility — each gate is a structured attempt to identify and quantify the ways in which an analysis could be wrong.

Central claim

A business that passes all eight gates at a price that provides an adequate margin of safety represents a probable mispriced bet — a situation in which the market price implies assumptions that are more pessimistic than the available primary source evidence supports. The framework does not predict that the price will converge to intrinsic value within any specific timeframe. It holds that time, applied to a business with a genuine durable competitive advantage, is itself a compounding force. (Buffett, 1989).

INTRODUCTION

What this framework is

A sequential, gate-based process for evaluating businesses as long-term investment candidates. Every step follows directly from the published writings, letters, and meeting transcripts of Warren Buffett and Charlie Munger. Nothing in this framework is invented. Everything traces to a primary source.

What this framework is not

A stock screening tool. A momentum system. A relative valuation approach. A method for finding the next earnings beat. This framework does not care about the next quarter. It cares about whether the business will be worth more in ten years than it is today, and whether you are paying less than it is worth right now.

The sequence principle

The eight gates are not a checklist to complete in any order — they are a sequence. Each gate filters out businesses that do not belong in a concentrated long-term portfolio. The most common mistake is beginning with Gate 6, the DCF. A DCF on a business you do not understand, run by management you have not evaluated, with a moat you have not verified, is not analysis. It is arithmetic dressed up as conviction. The DCF is the last gate. Not the first.

The behavioral principle (Munger, USC 1994)

"It is not given to human beings to have such talent that they can just know everything about everything all the time. But it is given to human beings who work hard at it — who look and sift the world for a mispriced bet — that they can occasionally find one." (Munger, USC 1994). The framework exists to find the mispriced bet. Once found, the behavioral test is simple: do nothing. The process is done. The market takes its course.

GATE 1 — CIRCLE OF COMPETENCE

Buffett and Munger jointly. First articulated in the 1996 Berkshire shareholder letter (Buffett, 1996). Expanded by Munger in the 1994 USC speech "Worldly Wisdom" (Munger, USC 1994). Buffett: "What an investor needs is the ability to correctly evaluate selected businesses. Note that word selected — you don't have to be an expert on every company or even many. You only have to be able to evaluate companies within your circle of competence. The size of that circle is not very important; knowing its boundaries, however, is vital." Munger's addition: the circle is a latticework of mental models built across disciplines — not static knowledge (Munger, USC 1994). A narrow circle honestly defined is far more valuable than a wide circle whose boundaries are unknown to the investor.

Proposition: No analysis shall proceed without the investor first establishing independent verification of the competitive mechanism through means other than management's own characterisation.

RULE

Can you independently verify the moat claim without relying on management's description? If the answer is no — stop. "I don't know" is a valid and complete answer.

QUESTIONS TO ANSWER

- Do you understand how the business makes money at the unit economics level?
- Can you identify the primary cost drivers without reading the annual report?
- Do you have an informational edge, or are you relying on publicly available narrative?
- If the business has multiple segments, can you evaluate each segment independently?

COMMON FAILURE MODES

- Confusing familiarity with understanding — using a product does not mean you understand the economics of producing it.
- Assuming domain expertise transfers — working in an industry gives context, not automatic analytical edge on valuation.
- Mistaking narrative for analysis — if the thesis is built on what management says rather than what the numbers show, you are outside your circle.

ACCEPTANCE CRITERIA

You can describe the moat mechanism in your own words without quoting management.

GATE 2 — MOAT IDENTIFICATION

Developed by Buffett (Buffett, 1986). First used publicly in the 1986 Berkshire letter and refined across decades of annual letters and meeting transcripts. The four-category taxonomy was systematised by Morningstar's Pat Dorsey building on Buffett's framework. Buffett: "The key to investing is not assessing how much an industry is going to affect society, or how much it will grow, but rather determining the competitive advantage of any given company and, above all, the durability of that advantage." (Buffett, 1986). Munger: "The best business is one that earns 25% on equity and keeps reinvesting at those rates. Most businesses don't have those qualities. Finding them is the job." (Munger, Wesco 2007).

Proposition: The competitive advantage of a business segment, and above all the durability of that advantage, shall be identified and classified prior to any financial assessment.

RULE

Never assess a conglomerate as a single moat. Evaluate each business segment independently.

THE FOUR MOAT TYPES

- **SWITCHING COST** — Customers incur meaningful cost (financial, operational, or psychological) to change suppliers. Measured by NRR, gross retention, churn rate, and contract length trends.
- **NETWORK EFFECT** — The product becomes more valuable as more users adopt it. Each new participant strengthens the position of all others. Measured by MAU growth, GMV, engagement depth, buyer/seller ratios.
- **INTANGIBLE ASSET** — Brand, patent, regulatory license, or proprietary data competitors cannot replicate quickly. Measured by brand premium vs private label, patent pipeline, regulatory win rate. The theoretical basis is Buffett's 1987 letter distinction between economic goodwill and accounting goodwill: economic goodwill is the durable earnings power generated by a brand or moat — unlike physical assets, it does not depreciate with time but compounds as the competitive position strengthens. This is why intangible asset moats can persist and grow for decades without additional capital investment.
- **COST ADVANTAGE** — Scale, location, process, or access creates a structural cost advantage competitors cannot close. Measured by gross margin vs competitors, cost per unit trends.

FOR EACH SEGMENT ASK

- What specifically prevents a well-capitalised competitor from taking share? Name the mechanism precisely.
- Has the moat held during a period of stress — recession, new entrant, or technology shift? Find the primary source evidence.
- Is the moat **WIDENING**, **STABLE**, or **NARROWING**? Prove it with a metric trend over at least 8 consecutive quarters. Not a claim.
- What is the single most plausible scenario in which this moat disappears entirely?

MOAT CLASSIFICATION AND DCF FADE STRUCTURE

- **WIDE** — Competitive advantage expected to persist 20+ years. Returns materially above cost of capital across multiple full business cycles. DCF fade: 10yr explicit + 15yr linear fade.
- **NARROW** — Competitive advantage expected to persist 10–20 years. Some erosion risk at the margin but core position intact. DCF fade: 10yr explicit + 10yr linear fade.
- **NONE** — No durable competitive advantage. Returns converge toward cost of capital. DCF fade: 5yr explicit + 5yr linear fade. Only hold at a deep discount.
- The fade structure is grounded in Buffett's 1989 letter: "Time is the friend of the wonderful business, the enemy of the mediocre." A wide moat business held long enough will bail out even a mediocre entry price. A mediocre business held long enough will destroy even a great entry price. This is why wide moats receive 25 years of explicit and fade period — time works for them — while no-moat businesses receive only 10 years, because time works against them.

HOW TO BUILD THE 8-QUARTER METRIC TREND

- Select the single metric most directly tied to the moat type — NRR for switching cost, MAU for network effect, brand premium for intangible asset, gross margin vs competitors for cost advantage.
- Pull the value for each of the last 8 quarters from primary source filings only — 10-Q for Q1-Q3, 10-K for Q4. Record the exact figure and the filing it came from.
- Record the direction each quarter: + (improving), = (flat), or - (deteriorating).
- A moat is confirmed widening when the metric trends positively across the majority of the 8 quarters with no two consecutive deteriorating periods.
- A moat is confirmed narrowing when the metric trends negatively across the majority of quarters. Two consecutive deteriorating periods triggers mandatory re-evaluation of the thesis.
- A single quarter of deterioration in an otherwise positive trend is noise. Two consecutive quarters is signal.

ACCEPTANCE CRITERIA

Named moat type per segment, supported by a measurable metric trending in the right direction over at least 8 consecutive quarters.

GATE 3 — MANAGEMENT INTEGRITY

Buffett: "We look for three things when we hire people: intelligence, energy and integrity. If they don't have the last one, the first two will kill you." This principle runs through every Berkshire letter from 1977 onward. The candor test was articulated most clearly in the 1989 letter (Buffett, 1989) — the ideal annual report is written as if to a single intelligent, long-term partner who deserves to know everything material. Munger identified the "man of questionable character" as a near-automatic disqualifier (Munger, Poor Charlie's Almanack). One deliberate deception invalidates the entire investment case regardless of business quality or price. Munger also developed the agency cost framework — managers optimising for personal gain at shareholder expense is the default human behavior, not the exception (Munger, Wesco Letters 1983–2011).

Proposition: Management integrity is a binary pre-condition, not a weighted input. A single demonstrated deception disqualifies the investment case regardless of all other considerations.

RULE

Evaluate three dimensions in sequence. A failure on INTEGRITY disqualifies regardless of the score on the other two. All evidence must come from primary sources only — 10-K, 10-Q, 20-F, 6-K, earnings call transcripts.

DIMENSION 1 — INTEGRITY (BINARY: PASS OR FAIL)

- Do they disclose unflattering information voluntarily, or only when legally required?
- When a key metric deteriorated, did they lead with it or bury it in management commentary?
- Any history of selective disclosure — using a metric verbally when favourable and omitting it when it deteriorates?
- Have they ever restated earnings, received SEC comment letters, or been cited for disclosure failures?
- ONE DELIBERATE DECEPTION = DISQUALIFICATION.

DIMENSION 2 — COMPETENCE

- Does the capital allocation record show returns above cost of capital over a full business cycle?
- Do they distinguish between maintenance and growth capital in communications to shareholders?
- Have they demonstrated the ability to say no to acquisitions and buybacks at bad prices?

DIMENSION 3 — ALIGNMENT

- Is significant personal wealth tied to long-term equity — shares held, not options?
- Is compensation structured around owner earnings or adjusted metrics that exclude real costs?
- Do they communicate with shareholders as partners or as a constituency to be managed?

ACCEPTANCE CRITERIA

Clean integrity record. Competence and alignment both positive. A single integrity failure requires explicit documented justification before the analysis proceeds.

GATE 4 — FINANCIAL QUALITY

The owner earnings formula is Buffett's own invention, first defined explicitly in the 1986 Berkshire annual letter (Buffett, 1986). GAAP earnings systematically misrepresent economic reality — D&A; is real cash that was spent, and maintenance capex is a real ongoing obligation that GAAP does not separate from growth capex. Buffett: "Owner earnings represent (a) reported earnings plus (b) depreciation, depletion, amortization, and certain other non-cash charges less (c) the average annual amount of capitalized expenditures for plant and equipment that the business requires to fully maintain its long-term competitive position and its unit volume." (Buffett, 1986). Munger: "The fundamental concept is that all income statements are lies — they don't tell you the return on invested capital." (Munger, Wesco 2004). Owner earnings corrects for both distortions: it strips the accounting fiction from D&A; and restores the real cash obligation of maintenance capex that GAAP buries inside a single capital expenditure line. A business earning 6% on incremental capital is not a compounder regardless of headline earnings growth.

Proposition: The economic earnings of a business shall be measured exclusively by owner earnings — net income adjusted for depreciation and maintenance capital expenditure — derived from primary source filings without recourse to adjusted or non-GAAP metrics.

RULE

Pull all figures from primary sources only — 10-K, 10-Q, 20-F, 6-K filings. No analyst estimates. No adjusted metrics. No consensus anchoring.

THE FULL BUFFETT OWNER EARNINGS FORMULA

$$\text{OWNER EARNINGS} = \text{Net Income} + \text{D\&A;} - \text{Maintenance CapEx}$$

MAINTENANCE CAPEX ESTIMATION

- Capital-intensive businesses: 65–70% of total capex.
- Asset-light businesses: 20–30% of total capex.
- If management discloses the maintenance vs growth split directly in filings, use that figure.

STOCK-BASED COMPENSATION (SBC)

- SBC is a real economic cost. Employees compensated in equity dilute existing shareholders.
- If SBC exceeds 15% of owner earnings, deduct it explicitly. Never add it back.
- Never use adjusted EBITDA as a proxy for owner earnings.

FINANCIAL QUALITY CHECKLIST

- Is owner earnings growing faster than revenue? (confirms operating leverage)
- Is SBC accounted for as a real cost?
- Is the balance sheet a fortress — net cash positive, minimal debt?
- Has gross margin been stable or expanding over 8+ consecutive quarters? (pricing power signal)
- Is return on incremental capital above 15%? (Munger's primary moat confirmation test)
- Can the business survive a 50% OE decline for 2 consecutive years without existential risk?

ACCEPTANCE CRITERIA

Owner earnings calculable directly from primary sources. Growing. SBC accounted for as a real cost. Balance sheet supports survival through a bad cycle.

GATE 5 — INVERSION

Munger's most distinctive intellectual contribution, drawn from Carl Jacobi's principle: "Invert, always invert." Munger introduced this to investing in the 1994 USC Business School speech: "It is in the nature of things that many hard problems are best solved when they are addressed backwards." From Poor Charlie's Almanack: "I have nothing to add to Darwin's insight about looking hard for disconfirming evidence. The test of a good mind is to hold two opposing ideas simultaneously and still function." Buffett's version — the newspaper test: "Would I be comfortable if the Wall Street Journal wrote a story about this decision?"

RULE

Before building a DCF, attempt to destroy the thesis. This gate is not optional and cannot be skipped.

THE INVERSION PROCESS

- STEP A — List every assumption the bull case requires to be true. Write them explicitly. If you cannot list them, you do not have a thesis.
- STEP B — For each assumption, construct the scenario where it fails completely.
- STEP C — Check whether management has addressed each failure scenario on the record. Primary source only — filing or earnings transcript, not an IR presentation.
- STEP D — Score each risk: [D] Addressed Directly / [DS] Addressed Structurally / [P] Partially Addressed / [U] Unanswered.

MANDATORY INVERSIONS FOR EVERY ANALYSIS

- MOAT DESTRUCTION — What kills the moat? Technology shift, regulatory change, new entrant with deep pockets, or commodity pricing pressure.
- MANAGEMENT FAILURE — Key person dependency, succession gap, or incentive misalignment that emerges under pressure or during transition.
- BALANCE SHEET STRESS — What do the financials look like at trough earnings? Can the business survive a 50% OE decline for 2 years?
- THESIS-BREAKING METRIC — Define the single metric that, if it deteriorates for two consecutive quarters, means the thesis is broken. Commit to it before you have a position.

THE KEY INSIGHT

- The most dangerous risks are the ones management has never been asked about and has never volunteered. Those are the ones the market has not priced.
- An UNANSWERED score on a mandatory inversion requires explicit written justification to proceed.

ACCEPTANCE CRITERIA

Every material inversion identified. Management's response sourced from primary documents. The single thesis-breaking metric defined and committed to in writing.

GATE 6 — VALUATION

The DCF derives from Graham's foundational insight in *The Intelligent Investor* (Graham, 1949) — the value of any asset is the present value of its future cash flows. Buffett absorbed this from Graham at Columbia and at the Graham-Newman partnership. The margin of safety is Graham's concept from *Security Analysis* (Graham & Dodd, 1934): "The margin of safety is always dependent on the price paid." Buffett refined Graham's approach by adding qualitative moat assessment. Munger: "All intelligent investing is value investing — acquiring more than you are paying for. A wonderful business at a fair price beats a fair business at a wonderful price." Buffett on the discount rate (Buffett, Annual Meeting 1994): "I use the 30-year Treasury rate. That's my yardstick." On precision: "It is better to be approximately right than precisely wrong." (Buffett, multiple letters).

Proposition: Intrinsic value is the present value of future owner earnings discounted at the risk-adjusted cost of capital. Entry is permissible only at a price that provides a margin of safety sufficient to absorb errors of analysis and judgment.

RULE

Gate 6 is only reached if Gates 1–5 are all passed. The DCF is the final confirmation — not the starting point.

STEP 1 — OWNER EARNINGS BASE

- Use the most recent full fiscal year OE calculated in Gate 4.
- Strip confirmed one-time items with primary source evidence only.
- Do not use adjusted EBITDA. Do not use net income alone.

STEP 2 — DISCOUNT RATE (BUFFETT'S BUILD-UP METHOD, 1994 ANNUAL MEETING)

- Risk-free rate: 30-year Treasury or sovereign equivalent for the earnings currency.
- Equity risk premium: 5–6% for developed markets.
- Company-specific premium: 0–2% based on size, cycle exposure, single-customer concentration, and management quality.
- Standard rate for a US large-cap quality business: 10.5%.
- CRITICAL FOR NON-USD BUSINESSES: anchor to the sovereign long-term rate. Run the full DCF in the currency of earnings. Convert to USD at the final step only. Never apply a USD discount rate to non-USD earnings.

STEP 3 — THREE GROWTH SCENARIOS

- BEAR — plausible adverse cycle. What happens if the worst reasonable case plays out?
- BASE — consistent with but not optimistic about management guidance. Use the lower of guidance and recent OE trend.
- BULL — what happens if the moat widens as theorised? Anchor to a specific thesis event.
- Year 1 growth: anchor to the lower of most recent OE growth or management guidance.
- Years 2–10: explicit rates declining toward terminal.
- Fade period: linear interpolation from year 10 rate to terminal growth rate.
- Terminal growth: Bear 2% / Base and Bull 3%.

STEP 4 — MOAT CLASSIFICATION AND FADE STRUCTURE

- Wide moat: 10yr explicit + 15yr linear fade to terminal.
- Narrow moat: 10yr explicit + 10yr linear fade to terminal.
- No moat: 5yr explicit + 5yr linear fade to terminal.
- The fade period reflects the reality that competitive advantages compress over time.
- TERMINAL VALUE FORMULA: $TV = \text{Final Fade Year OE} \times (1 + TGR) \div (WACC - TGR)$
- Terminal PV = $TV \div (1 + WACC)^{\text{final fade year}}$.
- The WACC – TGR denominator is why terminal growth must always be below the discount rate. If TGR equals or exceeds WACC, the formula produces an infinite or negative value — a mathematical signal that the assumption is unrealistic.

STEP 5 — MARGIN OF SAFETY (GRAHAM'S CONCEPT, BUFFETT'S APPLICATION)

- Wide moat: minimum 20% MOS. Maximum buy price = $IV \times 0.80$.
- Narrow moat: minimum 20% MOS. Maximum buy price = $IV \times 0.80$.
- No moat: minimum 30% MOS. Maximum buy price = $IV \times 0.70$.
- The MOS is not merely a discount from intrinsic value — it is an explicit acknowledgment of the investor's own fallibility in analysis and forecasting.

STEP 6 — SENSITIVITY TABLE

- Build a WACC vs terminal growth rate grid. Calculate IV per share at every cell intersection.
- The thesis must hold across the majority of the table — not just at one specific input combination.
- If the investment case only works at one WACC and one terminal rate, the thesis is fragile.
- Reflects Buffett's principle: "It is better to be approximately right than precisely wrong."

ACCEPTANCE CRITERIA

IV calculated from primary source owner earnings. MOS threshold confirmed on base case at current price.
Sensitivity table shows thesis holds across majority of cells.

GATE 7 — POSITION SIZING AND MONITORING

Position sizing reflects Buffett's concentration philosophy (Buffett, 1993) and Munger's Kelly Criterion influence. Buffett: "We believe that a policy of portfolio concentration may well decrease risk if it raises, as it should, both the intensity with which an investor thinks about a business and the comfort-level he must feel with its economic characteristics before buying into it." (Buffett, 1993). Monitoring: Buffett: "The key question is whether the competitive position of the business has changed." (Buffett, Annual Meeting 2016). Sell discipline: Munger: "The reason we don't sell is that we don't think it's so important to move around. There's a cost to activity and we're trying to avoid activity." (Munger, Wesco 1999).

Proposition: Once a position is established at a price below intrinsic value with thesis-confirming and thesis-breaking metrics defined, no further action is required until one of the defined exit conditions is triggered.

RULE

Only enter when current price is below maximum buy price. Define the thesis-confirming and thesis-breaking metric before taking any position.

ENTRY RULES

- Size proportional to conviction and MOS — wider MOS justifies a larger initial position.
- For illiquid OTC positions, size for illiquidity risk regardless of MOS.
- Never average down without re-running the complete framework from Gate 1 first.

BEFORE ENTRY — DEFINE AND COMMIT IN WRITING

- THE THESIS-CONFIRMING METRIC — the one number that, if it grows, proves the moat is intact.
- THE THESIS-BREAKING METRIC — the one number that, if it deteriorates for two consecutive quarters, means the position exits.
- THE NEXT CATALYST DATE — the specific filing or earnings release where the confirming or breaking metric will next be visible.

MONITORING CADENCE — EVERY QUARTER AT EARNINGS

- Has the thesis-confirming metric improved?
- Has the thesis-breaking metric deteriorated?
- Has management integrity remained intact?
- Has the competitive position changed materially?
- Has intrinsic value changed more than 10%? If yes — rerun Gates 4, 5, and 6.

THE ONLY VALID REASONS TO SELL

- Thesis-breaking metric confirmed deteriorating for two consecutive quarters → EXIT.
- Management integrity failure confirmed → EXIT.
- Price exceeds intrinsic value by more than 20% → begin reducing.
- Superior opportunity requires capital AND the new opportunity has wider MOS → evaluate.
- NEVER sell purely on price decline if the thesis is intact.
- NEVER sell because the market disagrees with your analysis.
- Price indifference is the behavioral test of the framework.

**THE FINAL RULE: Once the framework is complete and the entry price is met — DO NOTHING.
The process is done. The market takes its course. Buffett, 1996: "Inactivity strikes us as
intelligent behavior."**

GATE 8 — REVERSE DCF

Not a Buffett or Munger original — but the direct application of Munger's inversion discipline (Munger, USC 1994) to the valuation step. Instead of asking what the business is worth, ask what the market must believe for the current price to be correct. Then evaluate whether that belief is justified by the historical record. Munger: "It is in the nature of things that many hard problems are best solved when they are addressed backwards." (Munger, USC 1994).

Proposition: The valuation process is incomplete without inverting the DCF: the investor shall determine what the current market price implies about future earnings and assess whether those implied assumptions are achievable, stretched, or heroic.

RULE

Run the Reverse DCF after the forward DCF in Gate 6. It is a check on the market's implied assumptions — not a replacement for the forward valuation.

THE TWO CORE QUESTIONS

- QUESTION 1 — Keeping growth rates fixed: what OE base does the current market price imply? Compare against current, trough, and peak OE. Below trough = extreme pessimism and asymmetric upside. Above peak = heroic assumptions, do not enter.
- QUESTION 2 — Keeping the OE base fixed: what year-1 growth rate does the current price imply? Test across four deceleration profiles (1pp, 1.5pp, 2pp, 2.5pp per year). Score each: ACHIEVABLE / STRETCHED / HEROIC.

ASYMMETRY RATIO

- Upside = Base IV minus Current Price.
- Downside = Current Price minus Bear IV.
- Asymmetry ratio = Upside divided by Downside.
- Above 3:1 — high conviction entry.
- 2:1 to 3:1 — acceptable entry.
- Below 2:1 — no margin of safety, wait.

THE REALISM CHECK

- ACHIEVABLE — implied growth at or below recent OE CAGR. Market not pricing in anything the business has not already demonstrated.
- STRETCHED — implied growth above recent CAGR but below the bull case assumption. Possible but requires continued execution above trend.
- HEROIC — implied growth above the bull case assumption. Market pricing outcomes not supported by the historical record. Downside risk is asymmetric.

ACCEPTANCE CRITERIA

Implied OE base at or below current OE. Implied growth achievable on at least two deceleration profiles. Asymmetry ratio above 2:1. Current price below base case 20% MOS entry.

QUICK REFERENCE

Gate	Title	Core Question
1	Circle of Competence	Can I verify the moat without management?
2	Moat Identification	Named type + 8-quarter metric trend
3	Management Integrity	Binary integrity filter — one failure disqualifies
4	Financial Quality	Full Buffett OE formula — primary sources only
5	Inversion	Destroy the thesis before building the DCF
6	Valuation	DCF last, not first
7	Position Sizing	Define metrics before entry — then do nothing
8	Reverse DCF	What does the market have to believe?

OWNER EARNINGS = Net Income + D&A; – Maintenance CapEx

Capital-intensive: Maintenance CapEx = 65–70% of total capex

Asset-light: Maintenance CapEx = 20–30% of total capex

Discount rate	30-yr Treasury + ERP (5-6%) + company-specific (0-2%) = ~10.5% Non-USD: use sovereign rate + ERP. Convert IV to USD last. Never apply a USD discount rate to non-USD earnings.
Fade structure	Wide moat: 10yr explicit + 15yr fade Narrow moat: 10yr explicit + 10yr fade No moat: 5yr explicit + 5yr fade
Terminal growth	Bear: 2% Base: 3% Bull: 3%
Margin of safety	Wide / Narrow moat: minimum 20%. Max buy = IV × 0.80 No moat: minimum 30%. Max buy = IV × 0.70
SBC rule	If SBC > 15% of OE — deduct explicitly. Never add back. Never use adjusted EBITDA.
Sell triggers	Breaking metric down 2 consecutive quarters → EXIT Management integrity failure → EXIT Price > 120% of IV → REDUCE
Asymmetry ratio	Upside ÷ Downside. Above 3:1 = high conviction. 2–3:1 = acceptable. Below 2:1 = wait.
Behavioral rule	Do nothing once entry price is met and framework is complete. Never average down without rerunning Gates 1–5. Never sell on price decline if thesis is intact.

GLOSSARY

AGENCY COST

The cost arising when a manager acts in their own interest rather than in the interest of shareholders. Munger identified this as the default human behavior, not the exception. Identified through compensation structure, capital allocation history, and whether management wealth is tied to long-term equity performance.

ASYMMETRY RATIO

The ratio of potential upside to potential downside. Calculated as $(\text{Base IV} - \text{Current Price}) \div (\text{Current Price} - \text{Bear IV})$. Above 3:1 = high conviction. Between 2:1 and 3:1 = acceptable. Below 2:1 = no margin of safety, wait.

CANDOR TEST

Buffett's standard for evaluating management integrity. Does management volunteer unflattering information, or only disclose it when legally required? Evidence must come from primary sources only. The only candor that matters is candor when the news is bad and disclosure is optional.

CIRCLE OF COMPETENCE

The domain within which an investor can make reliable independent judgments about a business's competitive position — defined by the ability to verify the moat mechanism without relying on management's description. First articulated publicly in the 1996 Berkshire shareholder letter.

COST ADVANTAGE MOAT

A competitive advantage arising from scale, location, process, or access to inputs that allows a business to produce goods or services at a structurally lower cost than competitors. One of the four moat types.

D&A; (DEPRECIATION AND AMORTIZATION)

A non-cash accounting charge representing the allocation of past capital expenditures over time. Added back to net income in the Buffett owner earnings formula because it represents real economic value previously invested — not a current period cash outflow.

DISCOUNT RATE (WACC)

The rate used to convert future cash flows to present value. Built via the Buffett build-up method: risk-free rate + equity risk premium + company-specific premium. Standard rate for a US large-cap quality business: 10.5%. For non-USD businesses, anchor to the sovereign long-term rate and convert IV to USD at the final step only.

FADE PERIOD

The period following the explicit DCF forecast during which growth rates decline linearly from the year-10 rate to the terminal growth rate. Wide moat: 15 years. Narrow moat: 10 years. No moat: 5 years.

INVERSION

Munger's application of Carl Jacobi's mathematical principle to investment analysis. Before asking why an investment will succeed, ask how it could fail completely. First introduced to investing in Munger's 1994 USC Business School speech.

INTANGIBLE ASSET MOAT

A competitive advantage arising from brand equity, patents, regulatory licenses, or proprietary data that competitors cannot replicate or acquire at reasonable cost. One of the four moat types.

INTRINSIC VALUE

The present value of all future owner earnings generated by a business over its remaining life, discounted at the appropriate risk-adjusted rate. A range with a conservative midpoint — not a precise number. Buffett: "It is better to be approximately right than precisely wrong."

KELLY CRITERION

A mathematical formula for optimal bet sizing, referenced by Munger as the theoretical basis for position concentration. Sizes positions proportionally to edge. In practice, Munger advocated fractional Kelly to account for model uncertainty.

LATTICEWORK OF MENTAL MODELS

Munger's framework for building circle of competence across disciplines. The investor who understands psychology, mathematics, history, and economics has a more reliable analytical foundation than one who understands only finance. First described in the 1994 USC Business School speech.

MAINTENANCE CAPEX

The portion of total capital expenditures required to maintain the business's existing competitive position and unit volume — distinct from growth capex. Estimated at 65–70% of total capex for capital-intensive businesses and 20–30% for asset-light businesses.

MARGIN OF SAFETY

The discount between an investment's intrinsic value and its market price. Graham's foundational concept from Security Analysis (1934). An explicit acknowledgment of the investor's own fallibility. Minimum 20% for wide and narrow moat businesses. Minimum 30% for no-moat situations.

MOAT

Buffett's term for a durable competitive advantage that protects a business from competition over time. The four types: switching cost, network effect, intangible asset, cost advantage. First used publicly in the 1986 Berkshire letter.

NARROW MOAT

A competitive advantage expected to persist 10–20 years. Some erosion risk at the margin but core competitive position intact. DCF fade structure: 10yr explicit + 10yr linear fade.

NETWORK EFFECT MOAT

A competitive advantage arising when a product becomes more valuable as more users adopt it. Each new participant strengthens the position of all existing participants and makes the platform more difficult to displace.

NET REVENUE RETENTION (NRR)

The percentage of revenue retained from the prior period's customer cohort including expansions, contractions, and churn. NRR above 100% means existing customers are spending more over time — the primary quantitative evidence of a switching cost moat in recurring revenue businesses.

OWNER EARNINGS

Buffett's measure of true economic earnings, first defined in the 1986 Berkshire annual letter. Formula: Net Income + D&A; – Maintenance CapEx. SBC is treated as a real economic cost and is never added back. The only earnings metric used in this framework.

PRIMARY SOURCE

SEC filings (10-K, 10-Q, 20-F, 6-K), official earnings call transcripts, and shareholder letters published directly by the company. Analyst reports, financial data aggregators, and IR presentations are secondary sources and are never used as the basis for financial analysis.

RETURN ON INCREMENTAL CAPITAL (ROIC)

The return earned on each additional dollar of capital invested in the business. Munger's primary metric for evaluating business quality. A business consistently earning 15%+ ROIC is compounding value. Below cost of capital = value destruction regardless of revenue growth.

REVERSE DCF

A valuation technique that inverts the standard DCF question. Instead of solving for intrinsic value given assumptions, it solves for the growth rate or earnings base implied by the current market price.

SBC (STOCK-BASED COMPENSATION)

Compensation paid to employees in the form of equity. A real economic cost that dilutes existing shareholders. If SBC exceeds 15% of owner earnings, deduct it explicitly from the OE base before running the DCF. Never add back. Never use adjusted EBITDA.

SENSITIVITY TABLE

A grid showing intrinsic value per share across a range of WACC assumptions (rows) and terminal growth rate assumptions (columns). The investment thesis must hold across the majority of the table — not just at one specific input combination.

SWITCHING COST MOAT

A competitive advantage arising when customers incur meaningful cost — financial, operational, or psychological — to change suppliers. Measured primarily through gross retention rate, NRR, churn rate, and contract length trends.

TERMINAL GROWTH RATE

The perpetual growth rate applied after the fade period. Bear: 2%. Base and Bull: 3%. Should not exceed the long-run nominal GDP growth rate of the economy in which the business operates.

THESIS-BREAKING METRIC

The single quantitative measure that, if it deteriorates for two consecutive reporting periods, triggers an automatic position exit. Defined before entry and committed to in writing. Never changed retroactively to avoid triggering an exit.

THESIS-CONFIRMING METRIC

The single quantitative measure that, if it grows over time, proves the moat is intact and the thesis is playing out as modelled. Defined before entry. Checked every quarter at earnings.

WIDE MOAT

A competitive advantage expected to persist 20+ years. Returns on invested capital materially above cost of capital across multiple full business cycles. DCF fade structure: 10yr explicit + 15yr linear fade.

APPENDIX A — PRIMARY SOURCE READING ORDER

TIER 1 — FOUNDATIONAL (read first, in order)

Buffett Partnership Letters 1956–1966

Source: ivey.uwo.ca (PDF)

Buffett's earliest articulation of value investing principles before the Berkshire framework existed. Read chronologically — the evolution of the framework is visible across the letters.

Berkshire Hathaway Annual Letters 1977–1989

Source: berkshirehathaway.com/letters

The period during which the modern framework crystallised. The 1986 letter contains the owner earnings formula. The 1987 and 1989 letters contain the most complete discussions of moat dynamics and management integrity.

Poor Charlie's Almanack — 11 Talks

Source: press.stripe.com/poor-charlies-almanack

Munger's complete intellectual framework. Reading order: Worldly Wisdom (USC 1994) → Worldly Wisdom Revisited (Stanford 1996) → Practical Thought About Practical Thought (1996) → Psychology of Human Misjudgment → Academic Economics.

TIER 2 — DEPTH (read after Tier 1)

Wesco Financial Annual Letters 1983–2011

Source: berkshirehathaway.com/wesco

Munger's independent writing on capital allocation, insurance economics, and business quality. More concentrated and direct than the Berkshire letters.

Berkshire Hathaway Annual Letters 1990–2025

Source: berkshirehathaway.com/letters

The framework tested against real decisions across multiple economic cycles. The 1992 letter contains the clearest articulation of margin of safety. The 1993 letter contains the concentration argument.

Berkshire Annual Meeting Transcripts 1994–Present

Source: buffett.cnbc.com

Unscripted — highest density of practical application. Watch for questions that reveal how Buffett and Munger actually think through a business problem in real time.

TIER 3 — SUPPORTING (read after Tiers 1 and 2)

The Intelligent Investor — Benjamin Graham

The philosophical foundation of margin of safety and Mr. Market. Chapter 8 and Chapter 20 are essential.

Wesco Annual Meeting Notes — Whitney Tilson

Source: Search: "Wesco annual meeting notes Tilson"

Munger's less formal thinking — more practical and direct than the written letters.

Seeking Wisdom — Peter Bevelin

The most systematic compilation of Munger's mental model latticework applied to decision-making and investment analysis.

A note on using primary sources:

Always go to the original document. Do not rely on summaries, quotation compilations, or analysis of what Buffett or Munger said. Read the actual letters and transcripts. When a principle in this framework cites a source, find that source, read the full context, and verify the principle holds in its original form.

Munger's instruction from Poor Charlie's Almanack: "Take a simple idea and take it seriously." The simple idea is the owner earnings formula. The serious application is running it on every business from the original filing, without exception.

APPENDIX B — PORTFOLIO TRACKING TOOLS

PURPOSE

The four tracking tools in the workbook — the price ladder, the position log, the watchlist, and the eliminated companies register — are the operational infrastructure of the framework. They are not analytical tools. They are memory and discipline tools. Their purpose is to prevent the two most common behavioral failures: entering at the wrong price, and forgetting why you passed on something.

THE PRICE LADDER

The price ladder maps the current market price against all relevant MOS thresholds for a specific company. It is built after the forward DCF and Reverse DCF are complete — not before.

- Calculate Bear IV, Base IV, and Bull IV from the DCF.
- Calculate the 20% and 30% MOS entry prices for each scenario: $20\% \text{ MOS} = \text{IV} \times 0.80$, $30\% \text{ MOS} = \text{IV} \times 0.70$.
- Map the current price against these six thresholds on the ladder.
- The current price should be below the base case 20% MOS entry for the position to be actionable.
- The ladder answers one question: where does today's price sit relative to value?
- Update the ladder whenever intrinsic value is recalculated — at least annually, or whenever owner earnings change more than 10%.

THE WATCHLIST

The watchlist tracks companies that have passed Gates 1–5 and have a calculated intrinsic value, but whose current market price has not yet reached the maximum buy price. These are businesses you understand, trust the management of, and have priced — but are not yet cheap enough to buy.

- A company enters the watchlist only after completing all gates through Gate 8.
- Record the base case IV, the maximum buy price ($\text{IV} \times 0.80$ for narrow moat), and the current price.
- The gap percentage shows how far the stock needs to fall before it becomes actionable.
- Review the watchlist every quarter. If the price reaches the maximum buy price, confirm the thesis is still intact before entering.
- A company stays on the watchlist until: (a) the price reaches the entry threshold, (b) the thesis breaks and it moves to eliminated, or (c) intrinsic value changes materially.
- Do not chase a watchlist company above its maximum buy price because you fear missing it. Price indifference applies equally to entry as it does to holding.

THE POSITION LOG

The position log is the complete transaction and holdings record. It serves two purposes: maintaining an accurate record of cost basis and performance, and forcing a regular review of whether each held position still meets the framework criteria.

- Record every buy and sell transaction: date, shares, price, total cost, and account.
- The current holdings table shows average cost, current price, base case IV, and current MOS for every position.
- MOS is recalculated quarterly using the most recent owner earnings and current price.
- A position whose MOS has compressed to zero or negative is a signal to rerun Gates 4, 5, and 6 — not automatically to sell.
- Track positions across all accounts separately — taxable brokerage, Roth IRA, and 401(k) have different tax implications that affect sizing and holding decisions.

THE ELIMINATED COMPANIES REGISTER

The eliminated register records every company that was analyzed and failed a gate. It prevents re-analyzing the same company repeatedly and reaching a different conclusion without new primary source evidence.

- Record the company, the gate it failed, the primary reason, and the date.
- A company should not be re-analyzed unless there is specific primary source evidence that the reason for failure has materially changed.
- Management integrity failures are permanent disqualifications. Do not revisit them.
- Moat failures can be revisited only if the competitive dynamics of the industry change materially — and require re-running from Gate 1.
- The register protects against the sunk cost fallacy: time already spent analyzing a company is not a reason to re-analyze it hoping for a different result.

"The goal is not to win. It is to see how wrong you can be and still be right. Margin of safety, moat assessment, conservative DCF modeling, and position sizing are each sequential admissions of fallibility."

A Framework for Long-Term Business Analysis — May 2026